

Microsoft Corp. (MSFT)

2QFY Preview & Takeaways from Microsoft's AI Tour

MSFT

12m Price Target: **\$655.00**Price: **\$465.95**Upside: **40.6%**

Microsoft reports 2QFY results on 1/28. We believe risk/reward is skewed positive into the print. Since 1Q EPS in October, the stock is down 13% vs. the NASDAQ down 2%, in part due to broader concerns around the OpenAI ecosystem and app software disintermediation (productivity and business processes is 43% of Microsoft revenue), as well as specific concerns around Azure competitive positioning. We recognize the heightened focus on Azure revenue growth and see a path towards low-to-mid 40s in the next 4 quarters. For 2QFY, we see 39% cc as being likely (vs. guidance of 37% cc); and for 3QFY, we expect guidance within the range of 38%-40% (vs. the Street at 38%). That said, Microsoft invests capex more strategically than simply solving for Azure growth, with GPUs allocated to support 1P applications like Copilot (which likely carries better unit economics than Azure today) and internal R&D efforts with MAI (where it could achieve better LLM outcomes for specialized use cases). Taken together, our capex breakdown gives us confidence in both 12-24 month Azure outperformance and the ROI on compute allocated outside of Azure. Our checks also suggest that the budget environment is more favorable relative to a year ago, and that regular cloud migrations and Copilot adoption have picked up. We continue to recommend the stock and see Microsoft as best positioned in our coverage universe to benefit from compounding AI product cycles, beginning with its leadership position in AI compute, and extending to copilot and agent orchestration at the platform and application layers.

2Q EPS Preview

We believe risk/reward is skewed positive into the print. We see a reasonable upside scenario where Microsoft reports revenue 2-3% above the Street (Visible Alpha Consensus Data) at \$80bn (a similar beat to last quarter); EPS 4%-6% above the Street at \$3.95 (ex. OpenAI accounting); and Azure growth of 39% in cc. Sentiment has worsened over the last 3 months and we believe

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Key Data

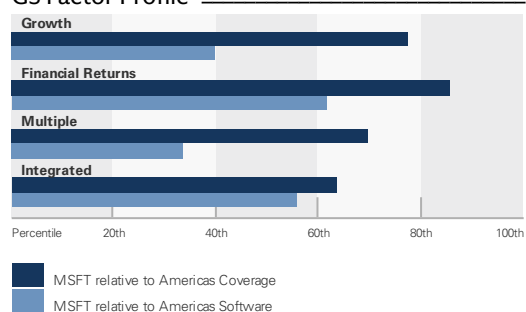
Market cap: \$3.5tr
Enterprise value: \$3.4tr
3m ADTV: \$12.2bn
United States
Americas Software
M&A Rank: 3

GS Forecast

	6/25	6/26E	6/27E	6/28E
Revenue (\$ mn)	281,724.0	330,648.7	394,135.3	464,397.5
EBITDA (\$ mn)	156,528.0	188,548.1	229,621.9	279,410.8
EBIT (\$ mn)	128,528.0	152,201.6	179,182.3	212,954.1
EPS (\$)	13.71	16.60	19.61	23.35
P/E (X)	30.9	28.1	23.8	20.0
EV/EBITDA (X)	19.8	18.0	14.7	11.9
FCF yield (%)	2.3	2.0	2.2	3.1
Dividend yield (%)	0.8	0.8	0.8	0.9
Net debt/EBITDA (X)	(0.3)	(0.4)	(0.4)	(0.6)

	9/25	12/25E	3/26E	6/26E
EPS (\$)	4.13	3.98	4.03	4.46

GS Factor Profile


Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Microsoft Corp. (MSFT)

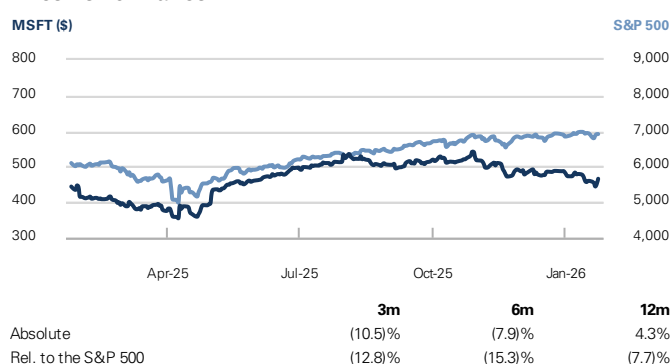
Rating since Jan 21, 2021

Ratios & Valuation

	6/25	6/26E	6/27E	6/28E
P/E (X)	30.9	28.1	23.8	20.0
EV/EBITDA (X)	19.8	18.0	14.7	11.9
EV/sales (X)	11.0	10.3	8.5	7.1
FCF yield (%)	2.3	2.0	2.2	3.1
EV/DACF (X)	22.0	19.5	16.0	12.9
CROCI (%)	29.7	29.4	28.1	28.1
ROE (%)	33.5	32.1	30.2	28.6
Net debt/EBITDA (X)	(0.3)	(0.4)	(0.4)	(0.6)
Net debt/equity (%)	(15.8)	(17.2)	(18.5)	(22.8)
Interest cover (X)	NM	NM	NM	NM
Inventory days	4.5	3.6	3.5	3.5
Receivable days	82.2	85.1	88.4	93.8
Days payable outstanding	103.3	105.6	104.3	104.6

Growth & Margins (%)

	6/25	6/26E	6/27E	6/28E
Total revenue growth	14.9	17.4	19.2	17.8
EBITDA growth	20.9	20.5	21.8	21.7
EPS growth	16.1	21.1	18.2	19.1
DPS growth	10.6	9.9	9.9	10.0
Gross margin	68.8	67.3	65.2	64.0
EBIT margin	45.6	46.0	45.5	45.9

Price Performance

Source: FactSet. Price as of 23 Jan 2026 close.

Income Statement (\$ mn)

	6/25	6/26E	6/27E	6/28E
Total revenue	281,724.0	330,648.7	394,135.3	464,397.5
Cost of goods sold	(87,831.0)	(108,155.5)	(137,314.3)	(167,292.6)
SG&A	(32,877.0)	(34,707.2)	(37,784.2)	(40,310.8)
R&D	(32,488.0)	(35,584.4)	(39,854.5)	(43,840.0)
Other operating inc./(exp.)	-	-	-	-
EBITDA	156,528.0	188,548.1	229,621.9	279,410.8
Depreciation & amortization	(28,000.0)	(36,346.5)	(50,439.6)	(66,456.7)
EBIT	128,528.0	152,201.6	179,182.3	212,954.1
Net interest inc./(exp.)	-	-	-	-
Income/(loss) from associates	-	-	-	-
Pre-tax profit	124,315.0	153,306.2	180,844.6	215,541.2
Provision for taxes	(21,960.0)	(29,368.4)	(34,360.5)	(40,952.8)
Minority interest	-	-	-	-
Preferred dividends	-	-	-	-
Net inc. (pre-exceptionals)	102,355.0	123,937.8	146,484.1	174,588.4
Net inc. (post-exceptionals)	101,832.0	120,041.8	146,484.1	174,588.4
EPS (basic, pre-exceptional) (\$)	13.77	16.67	19.70	23.46
EPS (diluted, pre-exceptional) (\$)	13.71	16.60	19.61	23.35
EPS (ex-ESO exp., dil.) (\$)	--	--	--	--
DPS (\$)	3.24	3.56	3.91	4.30
Div. payout ratio (%)	23.5	21.4	19.9	18.3
Wtd avg shares out. (basic) (mn)	7,433.8	7,434.3	7,436.8	7,442.9
Wtd avg shares out. (diluted) (mn)	7,467.8	7,467.3	7,469.8	7,475.9

Balance Sheet (\$ mn)

	6/25	6/26E	6/27E	6/28E
Cash & cash equivalents	30,242.0	28,096.0	46,548.3	93,376.5
Accounts receivable	69,905.0	84,311.0	106,511.2	132,095.8
Inventory	938.0	1,178.6	1,477.4	1,765.4
Other current assets	90,046.0	103,620.4	109,502.7	115,859.6
Total current assets	191,131.0	217,205.9	264,039.6	343,097.3
Net PP&E	229,789.0	344,298.6	463,136.7	569,530.6
Net intangibles	142,113.0	137,433.0	134,533.0	132,533.0
Total investments	15,405.0	11,465.0	11,465.0	11,465.0
Other long-term assets	40,565.0	48,031.2	57,307.4	67,332.3
Total assets	619,003.0	758,433.7	930,481.7	1,123,958.3
Accounts payable	27,724.0	34,835.5	43,667.8	52,177.9
Short-term debt	0.0	0.0	0.0	0.0
Current lease liabilities	-	-	-	-
Other current liabilities	113,494.0	128,658.2	147,709.2	169,333.3
Total current liabilities	141,218.0	163,493.6	191,377.0	221,511.2
Long-term debt	40,152.0	27,544.0	19,712.0	11,880.0
Non-current lease liabilities	17,437.0	17,348.0	17,348.0	17,348.0
Other long-term liabilities	74,007.0	116,974.1	157,523.7	189,963.4
Total long-term liabilities	134,306.0	165,148.8	198,534.6	223,907.8
Total liabilities	275,524.0	328,642.5	389,911.6	445,419.0
Preferred shares	-	-	-	-
Total common equity	343,479.0	429,791.2	540,570.1	678,539.3
Minority interest	-	-	-	-
Total liabilities & equity	619,003.0	758,433.7	930,481.7	1,123,958.3
BVPS (\$)	46.21	57.81	72.69	91.17

Cash Flow (\$ mn)

	6/25	6/26E	6/27E	6/28E
Net income	101,832.0	120,041.8	146,484.1	174,588.4
D&A add-back	34,153.0	41,178.4	50,439.6	66,456.7
Minority interest add-back	-	-	-	-
Net (inc)/dec working capital	(5,350.0)	(8,472.8)	(9,106.0)	(11,354.7)
Others	5,527.0	13,952.5	14,273.0	17,950.2
Cash flow from operations	136,162.0	166,700.0	202,090.7	247,640.6
Capital expenditures	(64,551.0)	(98,892.9)	(125,828.1)	(138,410.9)
Acquisitions	(5,978.0)	(578.0)	-	-
Divestitures	-	-	-	-
Others	(2,070.0)	(14,587.0)	-	-
Cash flow from investing	(72,599.0)	(114,057.9)	(125,828.1)	(138,410.9)
Dividends paid	(24,082.0)	(26,465.7)	(29,100.4)	(32,036.9)
Share issuance/(repurchase)	(16,364.0)	(19,729.5)	(20,877.8)	(22,532.6)
Inc/(dec) in debt	(8,962.0)	(7,832.0)	(7,832.0)	(7,832.0)
Others	(2,228.0)	(761.0)	-	-
Cash flow from financing	(51,636.0)	(54,788.1)	(57,810.2)	(62,401.5)
Total cash flow	11,927.0	(2,146.0)	18,452.4	46,828.2
Free cash flow	71,611.0	67,807.1	76,262.5	109,229.7
Free cash flow per share (basic) (\$)	9.63	9.12	10.25	14.68

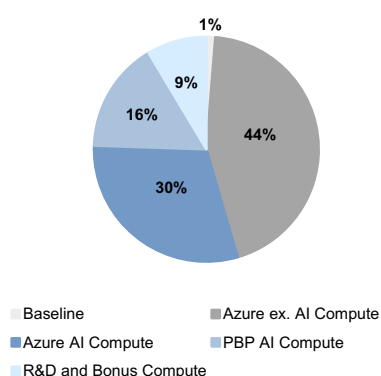
Source: Company data, Goldman Sachs Research estimates.

results and commentary may help address key areas of investor concern:

- **Capex translating into Azure revenue:** Last quarter, Microsoft revised FY26 capex to ~20% above GS expectations (including financial leases) but did not guide to a commensurate increase in Azure revenue acceleration. Microsoft evaluates capacity tradeoffs on a weekly basis to account for the following demand: 1) first party applications such as copilot; 2) internal use cases such as Microsoft's R&D efforts for Microsoft AI; 3) commitments to Azure customers including OpenAI. Our capex analysis estimates the quantum of compute associated with these 3 buckets. Even accounting for this set of priorities, we see a reasonable upside scenario where 2QFY Azure growth is 39% in constant currency and Microsoft guides 3QFY in the range of 38%-40% cc. We see a path to 40%-45% in the next 4 quarters. We also believe regular cloud migrations have picked up and that Microsoft's new agreement with Anthropic may have incrementally improved Azure's competitiveness vs. AWS.
- **Copilot adoption and enterprise AI adoption broadly:** Our conversations in December and January, including checks with 5+ large SIs and 10+ smaller SIs, suggest that the budget flush happened to a greater extent than a year ago, in turn due to less macro uncertainty. Copilot adoption commentary was meaningfully more positive than a year ago (recall Office 365 ARPU has already accelerated from 5% in 3QFY25 to 11% in 1QFY26), although we also heard of more meaningful discounting (potentially ahead of a new copilot sku introduction).
- **Competition in apps:** We expect Microsoft to detail its durable competitive advantages in the face of evolving new competition, including from Claude Cowork (announced 1/12) and an expanded Claude Excel integration announced on 1/23. These advantages include distribution, integration into enterprise workflows, security, and the ability to abstract models behind the Azure AI stack. Ultimately, we believe Copilot may coexist alongside tools like Claude in a similar way to how Microsoft Defender (for endpoint security) exists alongside CrowdStrike — but we do believe Microsoft will need to demonstrate that the quality of Copilot outputs and its ease of use are at least on par with alternatives for competition to become less of an overhang.
- **Silicon strategy:** We believe Microsoft is already benefiting from bringing on AMD as a second source of GPUs, per comments at our Ignite meeting in November (link). Importantly, we believe Microsoft currently has access to all third party silicon architectures except one (likely TPUs), and will likely also have access to future inference cost downs available via architectures like Groq. Nonetheless, we look for any signs of progress on Microsoft's own internal silicon roadmap with Maia.
- **Opex cost controls given gross margins under pressure:** We believe Microsoft has a greater focus on cost controls vs. a year ago, as a partial offset to depreciation headwinds in gross margin. We model total expenses ex. D&A growing 12% yoy (vs. +16% yoy inclusive of D&A) as a base case, but see a scenario where tighter opex controls could drive an EPS beat at the higher end of our 4-6% range.
- **Capex:** We continue to expect the bias to capex to be upward given the supply constrained environment and e.g. higher memory prices, but with any increase in investment likely being more moderate than the ~20% FY26 increase last quarter.

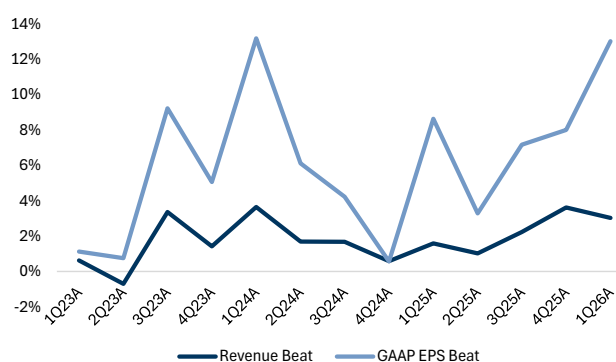
- **OpenAI accounting:** In 1QFY26, Microsoft started providing a reconciliation to non-GAAP net income that strips out the impacts of the OpenAI investment. As a result of OpenAI's transition to a PBC, Microsoft expects more volatility from the accounting impact of OpenAI, for line items below the operating income line, both in magnitude and direction (positive vs. negative). This is due to the potential for changes in its ownership stake (e.g. as a result of dilution) changing the carrying value of the investment, which would in turn change the amount of losses that Microsoft can realize in future periods against the investment. Prior to OpenAI becoming a PBC, Microsoft's losses were capped by the \$13bn in investment. We expect more predictable EPS beats going forward as Microsoft adjusts out OpenAI impacts ([Exhibit 2](#)).

Exhibit 1: We estimate FY26 compute capex by use case to inform our Azure estimates



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We expect more predictable EPS beats going forward as Microsoft adjusts out OpenAI impacts



Source: Company data, Goldman Sachs Global Investment Research

Back of the envelope math on revenue per GW supports our forecast for Azure to roughly double in revenue run rate between 4QFY25 and 4QFY27

In the 12 months ending July 2025, Microsoft added >2GW of new data center capacity: this suggests new revenue is coming in at ~\$12bn per GW. We know that historically, some of this capacity has been used for OpenAI training, going forward, dollar per GW should go up as training is more directly monetized. Additionally, in 2025, incremental data center capacity added exceeded the total capacity held across all Azure data centers 3 years prior. This indicates that prior to 2023, Azure revenue per GW was ~\$16bn and that capacity today is ~5GW.

The Fairwater data center in Wisconsin is expected to go online in 2026 and scale to 2GW of capacity, and Microsoft plans to double its total data center footprint over the next 2 years (as of the October earnings call). This would indicate that Microsoft is adding >2GW per year over the next 2 years and is supportive of our estimates suggesting that Azure roughly doubles in revenue run rate between 4QFY25 and 4QFY27.

Please also see our recent Microsoft reports:

- [Initiation](#) (1/11)
- [Takeaways from our HQ Field Trip](#) (1/15)

- Assessing the impact of potentially higher power costs (1/19)

Takeaways from Microsoft AI Tour in NYC

We attended Microsoft's AI Tour in NYC and spoke with many customers and partners. Key takeaways:

- **The budget environment is better than last year.** SIs noted that many enterprises are moving from the experimentation and organization phases on AI to more meaningful projects, and there are fewer limiting factors to getting AI budgets approved this year. That said, AI adoption is influencing headcount decisions. Partners noted that enterprises are beginning to reduce hiring or shrinking headcount in business functions like finance and HR, where AI can automate repeatable processes. At the same time, companies are investing in workforce upskilling to support more advanced AI-enabled workflows.
- **Copilot adoption may be inflecting and there are more examples of tangible use cases and savings.** Microsoft has made progress on integrating Copilots across its PBP suite and coordination within the ecosystem (e.g. between Teams and Office) is more seamless today, although there is still room for improvement. Semantic search and indexing has also improved.
 - Many enterprises pilot with ~10% of their workforce before scaling, and pace of deployment typically depends on how AI-forward C-suite is. Most customers scale Copilot deployment in phases, while some are looking to do full-scale deployments. One customer is looking to deploy 650K Copilot licenses from 10K in 2026, and we spoke to another business services customer that executed a full-scale 230K deployment in the last 12 months.
 - On vertical adoption, we spoke with one partner that noted an early push in CY25 at telco customers, that has now broadened to financial services. Another partner noted that AI-driven savings have been more pronounced in retail and manufacturing, industries where process optimization directly impacts the bottom line. Customers have been utilizing Copilot and agents for inventory optimization and supply-chain management. For example, a large national retailer is using Copilot agents to identify seasonal products with potential for year-round demand. The clearest cost efficiencies emerge in workflows that are rule-based and repeatable.
 - The most common friction points to Copilot usage are a) the need for explicit prompting and iteration to achieve the desired output, b) the lack of seamless integration across Microsoft products (although this has gotten better) and c) the need for users to adapt their workflows and learn new copilot prompts. Partners noted that AI enablement and training will be the key unlock to increasing utilization.
- **Copilot as best in suite and the discerning between “cost” and “value”:** we spoke with one partner that illustrated copilot's value as five tools in one: to build a copilot equivalent with point products, an enterprise could use ChatGPT Enterprise (at \$40-60/seat), Glean + search & Chat API (\$65), Agentspace Enterprise Plus with Notebook LLM (\$45) and Canva Enterprise (\$30-60). While this stack would offer best of breed functionality across each tool, it would total \$180-230 vs. Copilot at \$30, and arguably be overkill for the typical Office 365 user.

- **More broadly, we heard from customers that use Microsoft's broader set of AI tools to build more sophisticated use cases.** The upgrades to the Foundry control plane at Ignite in November were described as revolutionary, such as more MCP tools, the introduction of the agent framework, and the inclusion of Claude models. On broader custom builds that leverage Microsoft infrastructure: a large financial services customer saved \$100mn on fraud; an Aerospace company used AI to automate and analyze 2bn discrete maintenance records in 2 minutes for inventory management; an insurance carrier that used to train customer service agents for 6 months on rules/policy and can instead use that time to train empathy; and an oil and gas company accelerated a cobalt code migration that would have otherwise taken a year with two full-time \$150K developers. Partners noted that Microsoft's open ecosystem mindset stands out relative to hyperscaler peers, allowing customers more flexibility; even with this flexibility, Microsoft has multiple ways to monetize (Azure, Foundry, Cosmos DB, Horizon DB, egress fees when porting data to another hyperscaler).
- **Security is a differentiator for Microsoft's AI stack.** Microsoft's enterprise level reliability, security, and trust stood out as one of the key advantages for why customers prefer Copilot over open-model alternatives. Copilot is able to address all sensitive workflows, which is critical to driving usage and adoption for enterprises. One partner noted that despite having ChatGPT Enterprise license, most sensitive workflows are run on Copilot. They see a similar friction point for Anthropic, where security posture and scale will be insufficient for many enterprises.

Blog Post Highlights: We highlight key announcements since Microsoft last reported earnings on 10/29/25.

- 1/23/26: Building Community-First AI Infrastructure. This initiative includes: 1) paying utility rates high enough to cover costs and collaborate with utilities to add necessary electricity, 2) minimize water use and replenish more water than they use, 3) create jobs for residents, 4) add to the tax base that funds local hospitals, schools, parks, and libraries, 5) strengthen communities by investing in local AI training and non-profits.
- 1/8/26: Microsoft propels retail forward with agentic AI capabilities that power intelligent automation for every retail function. Copilot Checkout was made available in the US on Copilot.com. This is enabled by PayPal, Shopify, and Stripe and will include brands such as Urban Outfitters, Anthropologie, Ashley Furniture, and Etsy sellers. Microsoft introduced two new solutions for retailers, 1) Brand Agents are now available for merchants on the Shopify platform and 2) there is a personalized shopping agent template in Copilot Studio. The catalog enrichment agent template and the store operations agent templates were launched in public preview.
- 1/5/26: Microsoft announces acquisition of Osmos to accelerate autonomous data engineering in Fabric. Osmos uses Agentic AI to translate data into analytics in OneLake (the data lake inside Microsoft Fabric).
- 12/11/25: Available today: GPT-5.2 in Microsoft 365 Copilot.
- 12/10/25: It's About Time: The Copilot Usage Report 2025.
- 12/9/25: GigaTIME AI tool advances cancer research and could unlock access to better treatment. A new AI tool developed by Microsoft Research that is publicly available on Microsoft Foundry Labs and Hugging Face.
- 12/5/25: 10 scientific breakthrough from Microsoft researchers. 1) Majorana 1, the world's first quantum processor powered by topological qubits; 2) BioEmu-1, faster protein stability predictions could lead to more effective medicines; 3) MatterGen and MatterSim, AI-powered breakthroughs in materials discovery; 4) RAD-DINO, X-ray meets AI technology; 5) Aurora, advanced atmospheric and weather forecasting; 6) FCDD, improving early breast cancer screening with AI; 7) Seaweed-infused cement could cut concrete's carbon footprint; 8) Mapping floods from space, even when clouds get away; 9) Analog optical computer, accelerating AI and optimization with light; 10) Managing the risk behind the promise of AI in biology.
- 11/18/25: Why Microsoft Copilot Studio is the foundation for agentic business transformation. Microsoft announced recent updates to Microsoft Copilot including 1) redesigned creation experience, 2) file generation with natural language, 3) workflows agent, 4) choose your own model, 5) Evaluations, 6) computer use such that agents can automate tasks across apps and websites, 7) expanded agent analytics, 8) real-time protection with Microsoft Defender, 9) Microsoft Entra Agent ID.
- 11/18/25: Microsoft, NVIDIA and Anthropic announce strategic partnerships. Microsoft committed to invest up to \$5bn in Anthropic. Anthropic has committed to

purchase \$30bn of Azure compute capacity and to contract up to 1GW in additional capacity. Microsoft customer will also have broader access to Claude, including Microsoft Foundry customers.

- 11/13/25: The Next Phase of Aurora: Open and Collaborative AI for Weather and Climate Forecasting. Aurora is an AI model designed to help scientists understand Earth systems and is working on predicting the weather, tracking hurricanes and air quality, and modeling ocean waves and energy flows.
- 11/12/25: Infinite scale: The architecture behind the Azure AI superfactory. Microsoft is changing the way they design datacenters with the announcement of the next Fairwater datacenter site for Azure AI in Atlanta, Georgia that can integrate hundreds of thousands of the latest NVIDIA GB200 and GB300 GPUs. This datacenter is designed to train the next generation of frontier models but is also fungible.
- 11/11/25: Bridging the AI divide: How Frontier Firms are transforming businesses. Key case studies: 1) Blackrock integrating Microsoft AI into Aladdin, embedding it across 20 apps and for tens of thousands of users. 2) Mercedes-Benz MO360 data platform connects to more than 30 car plants worldwide and leverages AI through the Digital Factory Chatbot Ecosystem (multi-agent system for employees), Paint Shop AI (uses ML simulations to diagnose efficiency declines with 20% energy savings in the Rastatt paint shop), and NVIDIA Omiverse on Azure (digital twins). 3) Ralph Lauren developed Ask Ralph, an AI conversational tool for styling tips and outfit recommendations (powered by Azure OpenAI). 4) Dow built two agents in Copilot Studio, one to scan for billing invoice inaccuracies and a second that allows employees to dialogue with the data to investigate further. Dow expects to save millions of dollars in shipping costs within the first year.
- 11/11/25: BlueCodeAgent: A blue teaming agent enabled by automated red teaming for CodeGen AI. Researchers from various universities, VirtueAI, and Microsoft Research released a paper on developing effective defensive mechanisms to detect and prevent model failures.

Valuation & Key Risks

We maintain our Buy rating and 12-month price target of \$655, based on a 32x P/E multiple to Microsoft's SNTM adjusted net income. Key downside risks include: less-than-expected revenue contribution from OpenAI partnership, longer ramp for internal silicon which can limit market share gains or gross margin expansion, greater investments in projects outside of expectations (e.g., non-Azure), key leadership changes, and more meaningful shift to custom software that could negatively impact its applications business.

Disclosure Appendix

Reg AC

We, Gabriela Borges, CFA, Callie Valenti and Selina Zhang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

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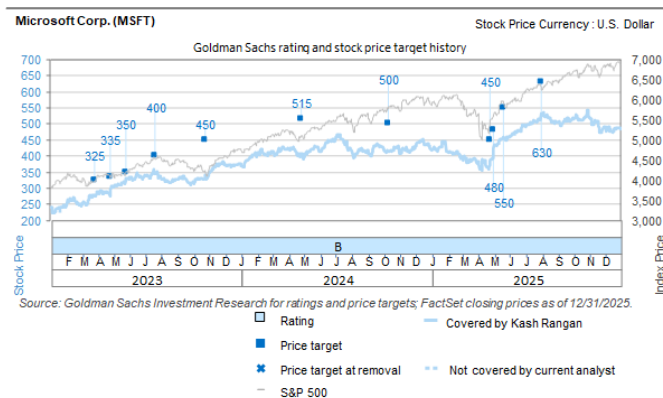
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